MERIDIAN & ASSOCIATES LLP

Audit & Assurance Practice

Independence and Conflict of Interest Policy

SEC, PCAOB, and AICPA Independence Requirements
for Audit and Assurance Engagements

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1. Purpose and Applicability

This policy establishes the independence and conflict-of-interest requirements applicable to all partners, principals, and professional staff of Meridian & Associates LLP and its member firms. Independence is the foundation of the auditing profession and is essential to the credibility of audit reports. This policy implements the requirements of SEC Rule 2-01 of Regulation S-X, PCAOB Rule 3520 (Auditor Independence), AICPA Code of Professional Conduct ET Section 1.200, and the IESBA Code of Ethics.

All personnel are required to read, understand, and acknowledge this policy annually. Violations may result in disciplinary action up to and including termination of employment and referral to regulatory authorities.

2. Financial Interest Restrictions

2.1 Direct Financial Interests

No partner, principal, or covered person (as defined below) may hold any direct financial interest in an audit client or an affiliate of an audit client. A direct financial interest includes ownership of stock, bonds, notes, or other securities, options, warrants, and similar instruments. This prohibition applies regardless of materiality.

2.2 Indirect Financial Interests

Indirect financial interests (e.g., through mutual funds, blind trusts, retirement plans) are prohibited when they are material to the covered person. An indirect financial interest is considered material when its value exceeds 5% of the covered person's total net worth or when the covered person can exercise control or significant influence over the investment vehicle.

2.3 Covered Persons

The term 'covered persons' encompasses the following categories, consistent with SEC Rule 2-01(f)(11):

- The audit engagement team members, including the lead engagement partner, engagement quality reviewer, and all staff assigned to the engagement.
- The chain of command: any partner or manager in the direct supervisory chain above the engagement partner, up to and including the firm's CEO/Managing Partner.
- Any partner in the same office as the lead engagement partner who provides 10 or more hours of non-audit services to the audit client.
- Any partner who maintains a direct relationship with the audit client's CEO, CFO, CAO, controller, or equivalent.
- The firm itself, including its employee benefit plans, and any entity controlled by the firm or by covered persons.

3. Prohibited Non-Audit Services

In accordance with Section 201 of the Sarbanes-Oxley Act of 2002 and SEC Rule 2-01(c)(4), the following non-audit services may not be provided to an audit client or an affiliate of an audit client that is an SEC registrant:

- Bookkeeping or other services related to the accounting records or financial statements of the audit client.
- Financial information systems design and implementation.
- Appraisal or valuation services, fairness opinions, or contribution-in-kind reports.
- Actuarial services.
- Internal audit outsourcing services.
- Management functions or human resources services.
- Broker or dealer, investment adviser, or investment banking services.
- Legal services and expert services unrelated to the audit.
- Any other service that the PCAOB determines by regulation is impermissible.

For non-registrant audit clients, the firm follows the AICPA independence rules, which are somewhat less restrictive but still prohibit services that place the firm in the position of auditing its own work or functioning as management of the client.

4. Pre-Approval of Permissible Non-Audit Services

All non-audit services proposed for an audit client must receive advance written approval from the audit client's audit committee (or equivalent body) before the services commence. The firm's National Independence Office reviews each proposed service for compliance before submission to the client's audit committee. Pre-approval must address:

- A description of the proposed service and its scope.
- The estimated fee and fee structure (fixed, hourly, or contingent).
- An analysis of the impact on independence, including threats and safeguards.
- Confirmation that the service does not fall within the prohibited categories listed in Section 3.
- Identification of the senior professional responsible for overseeing the non-audit service to ensure independence boundaries are maintained.

5. Employment and Cooling-Off Periods

SEC Rule 2-01(c)(2)(iii)(B) requires a one-year cooling-off period before a member of the engagement team (or a partner in the chain of command) can accept a Financial Reporting Oversight Role (FROR) at an audit client. The firm extends this to a two-year cooling-off period as a matter of firm policy for any of the following positions:

- Chief Executive Officer, President, or equivalent.
- Chief Financial Officer, Controller, Chief Accounting Officer, or equivalent.
- Director of Internal Audit or equivalent.
- Any board of directors or audit committee position.
- Any position with authority over financial reporting or accounting policies.

Departing personnel must notify the National Independence Office at least 30 days prior to their intended departure date. The Independence Office assesses whether additional safeguards are required, including potential removal of the departing professional from the engagement team immediately upon notification.

6. Firm Rotation Requirements

For SEC registrant audit clients, the lead engagement partner and the engagement quality review partner are subject to mandatory rotation after five consecutive years of service on the engagement, followed by a five-year cooling-off period, in accordance with PCAOB Rule 3211 and SEC Rule 2-01(c)(6). Additional rotation requirements apply to other partners providing significant services on the engagement.

The firm's Partner Rotation Committee, chaired by the Vice Chair of Audit Quality, monitors all partner tenures and initiates transition planning at least 18 months before a required rotation event. See the Audit Partner Rotation Policy (Document MA-AA-PR-2026-004) for detailed procedures.

7. Annual Independence Confirmations

All partners and professional staff are required to complete an annual independence confirmation through the Global Independence Compliance System (GICS). The confirmation requires disclosure of:

- All brokerage accounts, investment holdings, and retirement plan investments.
- Immediate family members' employment and financial interests.
- All outside business relationships, board memberships, and advisory roles.
- Loan and borrowing arrangements with financial institution audit clients.
- Any known relationships that could create a threat to independence.

Confirmations are due within 30 days of the fiscal year-end (March 31) and must be updated within 10 business days of any material change in circumstances. The Independence Office reviews 100% of partner confirmations and a risk-based sample of staff confirmations.

8. Partner Compensation Safeguards

To ensure that independence is not compromised by financial incentives, the firm's partner compensation system includes the following safeguards:

- Audit quality metrics (including PCAOB inspection results, internal review findings, and restatement history) constitute no less than 25% of the engagement partner's performance evaluation.
- Revenue or fee growth metrics may not exceed 15% of the partner's overall compensation determination.
- Cross-selling incentives for non-audit services to audit clients are expressly prohibited.
- A quality-related clawback provision allows the firm to recoup previously distributed compensation in the event of material audit failures.

9. Business Relationship Restrictions

The firm prohibits business relationships between covered persons and audit clients that could reasonably be expected to create a mutual financial interest or place the firm in an advocacy position. Restricted relationships include:

- Joint business ventures, partnership interests, or joint investments with audit clients or their officers, directors, or significant shareholders.
- Cooperative arrangements with audit clients for marketing, product development, or service delivery.
- Reciprocal referral arrangements that create financial interdependence.
- Contingent fee arrangements for any service provided to an audit client.
- Loans to or from audit clients (except permitted banking relationships under SEC Rule 2-01(c)(1)(ii)).